

RESIDENTIAL LEASE AGREEMENT

State of California — Governed by California Civil Code §§ 1940–1954.06
THIS DOCUMENT IS FOR TESTING PURPOSES — LEASORA DEMO FILE

LANDLORD	TENANT
Margaret L. Holloway 123 Sunset Blvd, Suite 4 Los Angeles, CA 90028 Phone: (213) 555-0192 Email: mholloway@example.com	Daniel A. Reyes (Current address) 88 Oak Street, Apt 2B Pasadena, CA 91103 Phone: (626) 555-0477 Email: dan.reyes@example.com

Rental Property:	4401 Willow Creek Drive, Apt 7C, Los Angeles, CA 90027
Lease Start Date:	August 1, 2025
Lease End Date:	July 31, 2026 (12-month term)
Monthly Rent:	\$2,850.00
Security Deposit:	\$5,700.00 (equal to two months' rent)
Rent Due Date:	1st of each month
Grace Period:	5 calendar days

1. LEASE TERM & RENEWAL

1.1 This Agreement commences on **August 1, 2025** and expires on **July 31, 2026** (the "Lease Term"). Tenant shall vacate the premises no later than 11:59 PM on the expiration date unless a written renewal is executed by both parties.

1.2 **Month-to-Month Conversion.** If Tenant remains in possession after the expiration date without a signed renewal, the tenancy shall automatically convert to a month-to-month tenancy at the same rent, subject to California Civil Code § 1946. Either party may terminate the month-to-month tenancy with **30 days' written notice**.

1.3 **Renewal Option.** Tenant may request a 12-month renewal by providing written notice no later than **60 days before lease expiration**. Landlord shall respond within 14 days. Renewal rent shall not exceed the prior monthly rent plus 5% or CPI, whichever is lower, per California AB 1482 (Tenant Protection Act of 2019).

2. RENT & LATE FEES

2.1 Tenant agrees to pay **\$2,850.00 per month** as base rent, due on the **1st day of each calendar month**, payable by check, ACH transfer, or Landlord's approved online portal (Venmo and cash are not accepted). Rent is considered received on the date it clears Landlord's account.

2.2 Late Fee. If rent is not received by the **6th of the month** (after a 5-day grace period), a late fee of **\$75.00** per day shall accrue until the balance is paid in full. ■ **RED FLAG NOTE:** A per-day late fee is above California norms; standard practice is a one-time fee of 5–6% of monthly rent (~\$142–\$171 one-time). Tenants should negotiate this clause before signing.

2.3 Returned Check Fee. A fee of \$35.00 shall be charged for any check returned for insufficient funds. After two returned checks, Landlord may require all future payments by cashier's check or money order.

2.4 Rent Increases. During the Lease Term, rent shall not increase. Subsequent increases shall comply with California AB 1482, capped at 5% + local CPI (max 10%) per 12-month period.

3. SECURITY DEPOSIT

3.1 Tenant shall pay a security deposit of **\$5,700.00** (equal to two months' rent) prior to or upon move-in. The deposit is held by Landlord in a **non-interest-bearing account** at Wells Fargo Bank, Los Angeles branch. Landlord is not required to pay Tenant interest on the deposit.

3.2 **Allowable Deductions.** Landlord may deduct from the security deposit: (a) unpaid rent; (b) costs to repair damages beyond normal wear and tear; (c) cleaning fees if the unit is not returned in the same condition as at move-in (reasonable wear and tear excepted); (d) costs for replacing Landlord's personal property taken by Tenant.

3.3 **Return Deadline.** Landlord shall return the deposit (or a written itemized statement of deductions with remaining balance) within **21 calendar days** after Tenant vacates, per California Civil Code § 1950.5. Failure to meet this deadline forfeits Landlord's right to make any deductions.

3.4 **Move-In / Move-Out Inspection.** Landlord shall provide Tenant with a written move-in checklist within 3 days of occupancy. Tenant has the right to request a pre-move-out inspection no earlier than 14 days before the termination date (CA Civil Code § 1950.5(f)).

4. EARLY TERMINATION

4.1 **Tenant Early Termination Fee.** If Tenant terminates this Agreement before July 31, 2026, Tenant shall pay an early termination fee equal to **two months' rent (\$5,700.00)**, plus forfeit the security deposit, plus reimburse Landlord for any unpaid rent through the earlier of: (i) the date a replacement tenant begins paying rent, or (ii) the original lease end date. ■ **RED FLAG:** Stacking an early-termination fee on top of deposit forfeiture and continued rent liability is unusually punitive; California law does not require Tenants to pay more than actual damages.

4.2 **Military Clause.** Notwithstanding Section 4.1, a Tenant who receives qualifying military orders for permanent change of station or deployment of more than 90 days may terminate with 30 days' written notice and proof of orders, per the Servicemembers Civil Relief Act (50 U.S.C. § 3955). No early termination fee shall apply.

4.3 **Landlord Termination for Cause.** Landlord may terminate with 3 days' notice for non-payment of rent, material lease violations, or illegal use of the premises, per California Code of Civil Procedure § 1161.

5. SUBLETTING & ASSIGNMENT

5.1 Tenant shall **not sublet** the premises or any portion thereof, nor assign this Agreement or any interest herein, without the prior written consent of Landlord, which shall not be unreasonably withheld (California Civil Code § 1995.010 et seq.).

5.2 Any request to sublet or assign must be submitted in writing at least **30 days in advance** and include: (a) the proposed subtenant's full name; (b) current address; (c) employment verification; (d) credit report. Landlord shall respond within 14 days of receiving a complete request. Silence beyond 14 days shall not constitute consent.

5.3 Short-term rental platforms (e.g., Airbnb, VRBO) are expressly **prohibited** under this Agreement. Any unauthorized short-term rental is grounds for lease termination under Section 4.3.

6. PETS

6.1 **No pets** of any kind are permitted in or about the premises without prior written consent of Landlord. This includes dogs, cats, birds, reptiles, rodents, and fish tanks over 10 gallons.

6.2 **Pet Deposit (if approved)**. Upon written approval, Tenant shall pay an additional refundable pet deposit of **\$500.00 per pet** (max two pets). This deposit is subject to the same deduction rules as Section 3.2. Note: California law does not cap pet deposits separately; however, total deposits (including pet) cannot exceed three months' rent for unfurnished units.

6.3 **Service Animals & ESAs**. Landlord shall make reasonable accommodations for verified service animals and emotional support animals as required by the Fair Housing Act and California FEHA. A pet deposit may not be charged for a verified service animal.

7. MAINTENANCE & REPAIRS

7.1 Landlord Obligations. Landlord shall maintain the premises in a habitable condition per California Civil Code § 1941, including: functioning heating, plumbing, electrical systems; weatherproofing; pest control for infestations not caused by Tenant; and structural safety of floors, walls, and roof.

7.2 Tenant Obligations. Tenant shall: (a) keep the unit clean and sanitary; (b) properly dispose of garbage; (c) not intentionally damage fixtures; (d) promptly report any needed repairs to Landlord in writing.

7.3 Repair Request Response Time. Landlord shall begin repairs within **30 days** of written notice for non-emergency issues, and within **24 hours** for emergencies (loss of heat, water, electrical failure, gas leak). If Landlord fails to repair within the statutory period, Tenant may exercise rights under California Civil Code § 1942 (repair-and-deduct, up to one month's rent per repair event).

7.4 Appliances. The following appliances are provided by Landlord in working order: refrigerator, dishwasher, oven/range, microwave, washer/dryer (in-unit). Landlord shall repair or replace within 14 days of notification of malfunction.

8. UTILITIES

8.1 Landlord-Paid Utilities: Water, sewer, and trash removal are included in the monthly rent. Landlord shall maintain these services without interruption except for scheduled maintenance with 48 hours' notice.

8.2 Tenant-Paid Utilities: Tenant is solely responsible for establishing and paying accounts for electricity, gas (SoCalGas), internet, and cable. Tenant shall open utility accounts in their own name no later than the lease start date.

8.3 RUBS (Ratio Utility Billing System). Landlord reserves the right to implement a RUBS program for water and trash with 30 days' written notice, not to exceed \$60/month combined. **UNUSUAL:** Shifting currently-included utilities to Tenant mid-tenancy via RUBS is contested under California law (AB 2379 pending); Tenant may wish to request removal of this clause.

9. ENTRY & PRIVACY

9.1 Notice Requirement. Landlord shall provide Tenant with **24 hours' written notice** before entering the premises for non-emergency purposes (inspections, repairs, showings), per California Civil Code § 1954. Entry shall occur only between 8:00 AM and 6:00 PM on weekdays unless Tenant consents in writing to a different time.

9.2 Emergency Entry. Landlord may enter without notice in the event of a genuine emergency (fire, flood, gas leak, imminent danger to property or persons).

9.3 Frequency of Inspections. Routine inspections are limited to **once per calendar quarter**. Landlord may not conduct inspections more frequently except when work orders are active or at Tenant request.

9.4 Smart Home Devices. Landlord may install and maintain a smart doorbell camera at the front door only. No recording devices shall be installed inside the unit. Tenant may install their own security devices with Landlord's written approval.

10. ALTERATIONS

10.1 Tenant shall not make any structural alterations, additions, or improvements to the premises without prior written consent of Landlord. This includes but is not limited to: painting walls (colors other than original), installing shelving that requires studs, removing or adding doors, or modifying electrical or plumbing systems.

10.2 **Permitted Minor Alterations.** Tenant may: (a) hang pictures and shelves using standard fasteners up to 1/4" diameter; (b) install removable window treatments; (c) add door locks with Landlord's written approval (duplicate keys to be provided to Landlord).

10.3 **Restoration.** Upon vacating, Tenant shall restore the premises to its original condition, including patching and painting any wall holes. Costs not restored shall be deducted from the security deposit per Section 3.2.

11. USE & OCCUPANCY

11.1 The premises shall be used solely as a private residential dwelling for Tenant and the following approved occupants: **Daniel A. Reyes** (Tenant), plus one additional adult occupant pending Landlord approval. No additional permanent occupants may reside in the unit without prior written consent.

11.2 **Prohibited Uses.** Tenant shall not: (a) operate any commercial business from the premises; (b) use the unit for any illegal purpose; (c) store hazardous materials; (d) conduct activities that disturb neighbors between 10:00 PM and 8:00 AM.

11.3 **Parking.** One (1) assigned parking space (#7C) is included. Tenant may not sublet or share the parking space. Guest parking is limited to 48 consecutive hours.

12. INSURANCE & LIABILITY

12.1 **Renter's Insurance Required.** Tenant shall obtain and maintain a renter's insurance policy throughout the Lease Term with minimum coverage of **\$100,000 personal liability** and **\$20,000 personal property**. Proof of insurance must be provided to Landlord within 14 days of lease commencement and upon each renewal. **UNUSUAL:** Mandatory renter's insurance is becoming more common but is not required by California law; failure to comply is typically a lease violation but not automatic grounds for eviction.

12.2 **Landlord's Insurance.** Landlord maintains a property insurance policy covering the building structure. Landlord's insurance does not cover Tenant's personal property or Tenant's liability.

12.3 **Indemnification.** Tenant shall indemnify and hold harmless Landlord from claims, losses, or damages arising from Tenant's negligent or intentional acts within the premises. Landlord shall indemnify Tenant from claims arising from Landlord's negligence or failure to maintain the premises.

13. WEAR AND TEAR

13.1 **Normal Wear and Tear Defined.** "Normal wear and tear" means deterioration that occurs through reasonable use of the premises, including: minor scuffs on walls from furniture, carpet wear from normal foot traffic, small nail holes from hanging pictures, and faded paint due to sunlight exposure. These shall not be charged to Tenant.

13.2 **Damage Beyond Normal Wear.** The following shall be considered damage beyond normal wear and deducted from the security deposit: large holes in walls, burns on carpet or countertops, stains that cannot be removed by professional cleaning, broken fixtures, missing or damaged blinds, and unauthorized paint colors.

13.3 **Carpet & Paint Lifespan.** Carpet shall be deemed at end of useful life after **7 years** (consistent with CA guidelines); paint after **2 years**. If either has surpassed useful life at move-out, Tenant shall not be charged for full replacement — only prorated costs for damage in excess of normal wear, if any.

14. DISPUTE RESOLUTION

14.1 **Good-Faith Negotiation.** The parties agree to attempt resolution of any dispute through direct good-faith negotiation for no less than 14 calendar days before pursuing other remedies.

14.2 **Mediation.** If negotiation fails, the parties agree to participate in non-binding mediation through the Los Angeles County Department of Consumer and Business Affairs (DCBA) Rent Stabilization program or a mutually agreed mediator, at shared cost.

14.3 **Arbitration Waiver.** Notwithstanding the foregoing, **neither party waives the right to bring an action in small claims court** (for claims within CA Small Claims limits) or to seek emergency injunctive relief in a court of competent jurisdiction. This Agreement does not contain a binding arbitration clause.

14.4 **Attorney's Fees.** In any legal action arising from this Agreement, the prevailing party shall be entitled to recover reasonable attorney's fees and court costs, per California Civil Code § 1717.

14.5 **Governing Law & Venue.** This Agreement is governed by the laws of the State of California. Any action shall be brought in Los Angeles County Superior Court.

15. GENERAL PROVISIONS

15.1 **Entire Agreement.** This Agreement, together with any attached addenda, constitutes the entire agreement between the parties and supersedes all prior oral or written negotiations.

15.2 **Severability.** If any provision is found invalid or unenforceable, the remainder of the Agreement shall continue in full force and effect.

15.3 **Notices.** All notices must be in writing and delivered by: (a) personal delivery; (b) first-class mail; or (c) email with read receipt to the addresses in this Agreement. Notice by email is effective upon confirmed delivery.

LANDLORD SIGNATURE	TENANT SIGNATURE
Signature: _____ Name: Margaret L. Holloway Date: _____ _____	Signature: _____ Name: Daniel A. Reyes Date: _____

■ THIS IS A DEMO DOCUMENT FOR LEASORA TESTING PURPOSES ONLY. NOT A LEGALLY BINDING AGREEMENT.
NOT LEGAL ADVICE.